Long: MP Materials Corp (MP)

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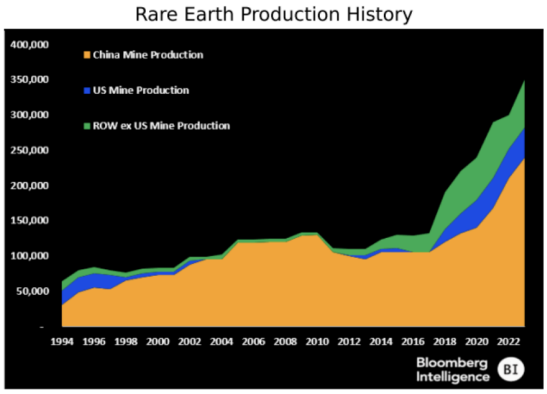
Company Overview: MP is a U.S. based company that specializes in rare earth materials, primarily mining and processing neodymium and praseodymium (NdPr), which are **essential for the production of permanent magnets used in electric vehicles (EVs), wind turbines, and defense applications.** The company owns and operates the Mountain Pass mine in California, one of the world's richest rare earth deposits, and **holds the only rare earth mine and processor in the US**, positioning it for unique opportunities.

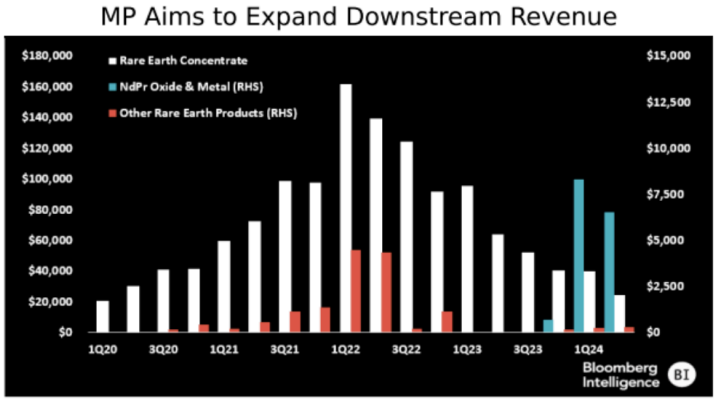
Investment Thesis: MP Materials is severely underpriced and overlooked due to its short-term pricing headwinds and negative margins. MP Materials presents a compelling long opportunity due to its strategic supply and position to benefit from government partnerships. Expanding margins along with policies aimed to reduce U.S. reliance on foreign sources will force investors to recognize MP as a strategic long term investment.

Catalysts

- **U.S. has no domestic rare earth mining or processing**, and China's ban on key processing materials is prompting the U.S. to accelerate its supply chain efforts
- **US policies aimed at accelerating mining and processing** are helping MP rebound: current executive orders & Defense Production Act (DPA) will benefit MP by ensuring a protected domestic market (recent $50 million deal with General Motors)
- **Ukraine minerals deal & Trump's anti China stance** gives MP an opportunity to grow alongside rebounding Q4 revenue forecasts
- Currently positioning itself as a **key player in the EV and clean energy industry** by scaling and setting up vertical integration for commercial magnet production
- Critical minerals market, valued $320.43B in 2022, is projected to grow to $494.23B by 2030 **(5.6% CAGR)**



Source: U.S. Geological Survey



Source: Bloomberg Intelligence, Company Filings'

Risks

- **Negative** EBITDA/earnings; -43% drop in 2022-2023 realized sales prices was driven by lower demand for magnetic products; management cited poor macro outlook, and operational challenges
- Subject to **permitting and environmental regulations** where delays could slow expansion by years
- **Foreign dominance** in the market could affect prices and drive demand down exponentially

KEY STATS				BULL	BASE	BEAR
Q4 REVENUE ESTIMATE (YoY)	**$60.986M** (48%)	MARKET CAP	**$4,060M**	Strong Growth	Volume Growth	Minimal/Slow
FY 2024 REVENUE	**$203.86M** (-19.5%)	SHARE PRICE	**$24.85**	& Acceration	Steady	Growth
EPS (Q4 2024)	**-$0.12**	EV-to-EBITDA	**40x**	40-50	35-40	15-18